

- RAG Learning

2.1 Raising Finance

Business — Edexcel (9BS0) — Theme 2: Managing business activities

Theme 2 opens with the question every business faces from the start: where does the money come from? This topic covers internal and external sources of finance, the methods through which finance is provided, the significance of limited and unlimited liability, and the role of business plans and cash-flow forecasts in securing finance. It is examined on Paper 2 and synoptically on Paper 3. The key skill is **matching**: the right source depends on how much is needed, what it is for, for how long, the legal form of the business, its risk and its existing debt. Questions that ask you to “assess the most appropriate source” reward candidates who reason from the particular business rather than list advantages and disadvantages.

Internal finance — money raised from within the business or its existing owners.

External finance — money raised from outside the business.

Retained profit — profit kept in the business after tax and dividends, available for reinvestment.

Business angel — a wealthy individual who invests their own money in small, often new, businesses in return for a share of equity.

Venture capital — finance provided by specialist firms to high-growth, higher-risk businesses in return for equity (and often a board seat).

Trade credit — buying goods or services from suppliers and paying for them later, typically 30–90 days.

Cash-flow forecast — a prediction of the cash inflows and outflows of a business over a future period, usually monthly.

Business plan — a document setting out a business's objectives, strategy, market, operations and financial forecasts.

2.1.1 Internal finance

Source	Description	Advantages	Disadvantages
Owner's capital: personal savings	The entrepreneur invests their own money	No interest, no repayment, no loss of control; shows commitment to lenders	Limited amount; personal risk; opportunity cost of the savings
Retained profit	Profit reinvested rather than paid out to owners or shareholders	Cheapest source; no interest or dilution; permanent	Not available to start-ups or loss-making firms; may be insufficient; shareholders may want dividends instead
Sale of assets	Selling property, equipment or a division no longer needed; includes sale and leaseback	Can raise large sums; puts idle assets to use	Assets can be sold only once; may be sold cheaply if in a hurry; the business may need them later; leaseback adds rent

Internal finance does not add to a firm's debt, but is limited in amount — the main reason growing firms turn to external finance.

2.1.2 External finance

a) Sources of finance (who provides it)

- **Family and friends** — flexible, often cheap or interest-free, but amounts are small and financial failure can damage relationships.
- **Banks** — loans, overdrafts and other products. Require a business plan and often collateral or a personal guarantee; cautious with start-ups.
- **Peer-to-peer (P2P) funding** — online platforms matching businesses that want to borrow with individuals who want to lend, cutting out the bank. Often quicker, with competitive rates for good borrowers; lenders' money is not protected.

- **Business angels** — invest their own money (often £10,000–£500,000) for equity; frequently bring expertise and contacts. Shown on *Dragons' Den*. Cost: loss of part of the ownership and control.
- **Crowdfunding** — raising small amounts from many people online. *Reward-based* (Kickstarter: backers receive the product), *equity-based* (Crowdcube, Seedrs: investors receive shares; BrewDog's "Equity for Punks" raised tens of millions this way), or *donation-based*. Also tests demand and builds a community of loyal customers; but most campaigns fail to hit their target, and the idea becomes public.
- **Other businesses** — larger firms may invest in or lend to smaller ones for strategic reasons (a supplier or a customer, or corporate venture arms); e.g. Coca-Cola's staged investment in Innocent from 2009.

b) Methods of finance (the form it takes)

Method	Term	Description	Advantages	Disadvantages
Loans	Medium/long	A fixed sum repaid with interest over an agreed period	Owners keep control; predictable repayments; interest is tax-deductible	Interest cost; must be repaid even if profits fall; may need collateral; raises gearing
Share capital	Long (permanent)	Selling shares (equity) in a limited company	No repayment or interest; large sums possible for plcs	Dilutes ownership and control; shareholders expect dividends; only available to companies
Venture capital	Long	Equity (and sometimes loans) from specialist investors in high-growth firms	Large sums for risky ventures banks will not fund; expertise	Investors take a significant stake and expect high returns and an exit within 5–7 years

Overdrafts	Short	Permission to withdraw more than is in the bank account, up to a limit	Flexible; interest only on the amount overdrawn; covers cash-flow gaps	High interest; can be withdrawn by the bank at short notice; unsuitable for long-term needs
Leasing	Medium	Paying to use an asset (vehicles, equipment) without owning it	No large upfront cost; maintenance often included; easy to upgrade	More expensive overall than buying; the asset is never owned
Trade credit	Short	Delay payment to suppliers	Effectively an interest-free short-term loan; improves cash flow	Losing early-payment discounts; late payment damages supplier relations; new firms may not be offered it
Grants	Varies	Money from government, the EU (historically) or charities that does not need to be repaid	Free; signals credibility	Conditions attached (location, jobs); competitive and bureaucratic to obtain; limited amounts

Exam Tip: Match the **term** of the finance to the **use**: short-term needs (a seasonal cash gap) suit an overdraft or trade credit; long-term investment (a new factory) suits a loan, share capital or retained profit. Using an overdraft to buy a building is a classic mismatch examiners look for.

Debt versus equity — the core trade-off: debt (loans, overdrafts) keeps control with the owners but adds interest and repayment obligations and raises risk if sales fall; equity (shares, angels, venture capital) carries no compulsory repayment but gives away ownership, control and a share

of future profits. Rising interest rates in 2022–23 (Bank Rate rose from 0.1% in December 2021 to 5.25% by August 2023) made debt more expensive and pushed some firms towards equity or internal finance.

2.1.3 Liability

a) Implications of limited and unlimited liability

	Unlimited liability	Limited liability
Applies to	Sole traders, ordinary partnerships	Private and public limited companies, LLPs
Meaning	Owners are personally liable for all business debts; personal assets (house, car, savings) can be taken	Owners can lose only what they have invested; the company is a separate legal entity
Implications	Greater personal risk; may deter enterprise; lenders may lend on the strength of the owner's personal assets	Encourages investment and risk-taking; but suppliers and lenders face more risk, so they may demand personal guarantees from directors or offer less credit

b) Finance appropriate for limited and unlimited liability businesses

- **Unlimited liability businesses** cannot issue shares. They rely on owner's capital, retained profit, family and friends, bank loans and overdrafts, trade credit, leasing, grants, P2P, and reward-based crowdfunding. A partnership can raise more by admitting new partners.
- **Limited companies** can use all of the above plus **share capital**: a private limited company sells shares privately (including to business angels, venture capitalists and via equity crowdfunding); a plc can sell shares to the public on a stock exchange.
- In practice, banks lending to small limited companies often require **personal guarantees** from the directors, which weakens the protection of limited liability.

2.1.4 Planning

a) Relevance of a business plan in obtaining finance

A business plan typically includes: an executive summary; details of the owners and their experience; the product or service and its USP; market research and target market; competitor analysis; the marketing mix; operations (premises, suppliers, staffing); objectives; and financial forecasts (sales forecast, cash-flow forecast, break-even analysis, projected profit).

For lenders and investors, the plan demonstrates that the idea has been researched, that the business is viable, how and when the money will be repaid (or what return investors can expect), and that the owners understand their market and risks. It also helps the entrepreneur by clarifying objectives and providing targets against which to measure performance.

Limitations: forecasts are only estimates and can be over-optimistic; the plan quickly dates in a dynamic market; a good plan does not guarantee a good business, and writing one takes time.

b) Interpretation of a simple cash-flow forecast

Structure: **Cash inflows** (receipts) minus **cash outflows** (payments) = **net cash flow**. **Opening balance + net cash flow = closing balance**. Each month's closing balance becomes the next month's opening balance.

Café start-up (£)	Jan	Feb	Mar
Cash inflows: sales receipts	12,000	9,000	15,000
Materials	6,000	5,000	7,500
Wages	4,000	4,000	4,000
Rent	1,500	1,500	1,500
Other costs	1,000	1,000	1,000
Total cash outflows	12,500	11,500	14,000
Net cash flow	(500)	(2,500)	1,000

Opening balance	5,000	4,500	2,000
Closing balance	4,500	2,000	3,000

Brackets indicate negative figures. **Interpretation:** the business is cash-negative in January and February, with the balance falling to £2,000 — a thin buffer — before recovering in March.

Calculation based on a change in a variable: suppose February sales receipts are 20% lower than forecast.

- New Feb receipts = $9,000 \times 0.8 = \text{£}7,200$
- New Feb net cash flow = $7,200 - 11,500 = \text{ (£}4,300\text{)}$
- New Feb closing balance = $4,500 - 4,300 = \text{£}200$
- New Mar closing balance = $200 + 1,000 = \text{£}1,200$ (assuming materials costs do not change)

A 20% fall in one month's sales almost wipes out the cash buffer — the owner should arrange an overdraft facility in advance. (Strictly, lower sales would also reduce materials spending a little; stating assumptions like this is good practice in calculation questions.)

Exam Tip: In cash-flow questions, always carry changes through to **every later month**: a change in February's closing balance changes March's opening balance and therefore March's closing balance. Show your workings and label figures with £ — Edexcel awards method marks for each step.

c) Use and limitations of a cash-flow forecast

Uses	Limitations
Identifies periods when cash will be short, so an overdraft can be arranged in advance	Only as accurate as the assumptions; sales are especially hard to predict for a new business
Supports applications for finance (part of the business plan)	Unexpected costs (repairs, price rises) and external shocks are not included

Helps plan the timing of large payments and purchases	Customers may pay late, so receipts arrive later than forecast
Provides targets; actual figures can be compared with the forecast to take action	Time-consuming to prepare; can become out of date quickly
Helps identify surplus cash that could be invested	Shows cash, not profit: a positive cash flow does not mean the business is profitable

Ways to improve cash flow (link to 2.3.2): chase debtors, offer early-payment discounts, negotiate longer credit from suppliers, lease rather than buy, sell unused assets, reduce stock, arrange an overdraft.

Common mistakes

- Confusing sources (who provides the money) with methods (the form it takes) — a bank is a source; a loan is a method.
- Suggesting that a sole trader should issue shares.
- Treating an overdraft as a long-term source.
- Calling retained profit “free” — it has an opportunity cost (dividends forgone, other uses).
- Forgetting to carry forward closing balances in cash-flow calculations.
- Confusing cash flow with profit.

Exam Tip: For a 10- or 12-mark “assess” question on finance, compare two realistic options for the business in the extract (e.g. a bank loan against a business angel), use its numbers (existing debt, profits, amount needed), and judge which is better *for this business*, stating what the decision depends on — e.g. whether the owner values control more than avoiding interest costs.

Quick recall

- Internal: owner's savings, retained profit, sale of assets
- External sources: family and friends, banks, P2P, business angels, crowdfunding, other businesses
- External methods: loans, share capital, venture capital, overdrafts, leasing, trade credit, grants
- Debt keeps control but adds interest and risk; equity has no repayment but dilutes control
- Match short-term finance to short-term needs
- Unlimited liability (sole trader, partnership) cannot sell shares; limited companies can
- Business plan: shows viability and repayment ability to lenders
- Opening balance + inflows – outflows = closing balance; carry changes forward
- Cash-flow forecasts are only as good as their assumptions